

The bank sells it. Or you do.

Same house. *Two very different endings.*

When a mortgage gets ahead of you, the house usually changes hands one way or the other. What is still open is who runs the sale, what it costs, and how much of the result is yours. This guide puts the two processes side by side so you can see the difference while it still matters.

What this is, and what it is not.

It is a plain description of the two ways a mortgaged home in Ontario ends up sold when the payments cannot continue: a sale run by the lender, and a sale run by you, before the lender has to. It is general information, drawn from how these files actually go, written by someone who spent close to ten years on the legal side of them.

It is not legal advice, and it is not a promise about your file. Where a step turns on your own mortgage terms or your own circumstances, your lawyer is the one to confirm it. The point here is simpler: that the ending is not fixed yet, and that the earlier you look, the more of it is still yours to decide.

Inside

- **Where you are on the line.** Five stages, in order. Find yours.
- **What waiting costs.** The number that moves every month, and the one that does not.
- **Process one: the lender sells it.** What happens, and what it costs you.
- **Process two: you sell it first.** What changes when you run it.
- **Side by side.** The two endings on one page.
- **The one number.** What decides which ending is still available.

Five stages. *The further down, the fewer the choices.*

Every file moves along the same line. People rarely know which stage they are at, because nobody writes to tell them, and because each stage feels like the one before it with one more letter in the drawer. Find yours.

1 Payments are up to date, but it is getting hard

Nothing has happened yet on paper. Every option in existence is open: refinance, restructure, rent out part of the home, sell on your own timing. This is the stage with the most room and the least urgency, which is exactly why most people pass through it without acting.

2 Behind on payments

One or more missed. Interest keeps running on the full balance, and lender fees begin. You are still fully in control of the property. The gap between what is owed and what it would sell for starts to close from here.

3 A notice from the lender

In Ontario this is typically a Notice of Sale. It starts a statutory waiting period during which the arrears, or the whole balance, can still be paid. The lender's legal costs are now on the account. You can still sell it yourself inside this window, and many people do.

4 A court process has started

Some lenders go to court; some go straight to a sale after the notice period. Either way, the costs are now substantial and the timing belongs to someone else. Options narrow to a few, and the sooner they are used the better they work.

5 The lender's sale

The property is listed by the lender's agent and sold on the lender's terms. Your part is to vacate. What is left, if anything, arrives after the lender, its lawyers and its costs have been paid.

Two things are true at every stage: it is not over, and it is later than it feels.

Every month behind adds to what you owe, *and not to what the house is worth.*

Missed payments are the part people watch. The part that does the damage is quieter. A mortgage in default keeps accruing interest on the full balance, the lender adds its own fees and legal costs on top, and in some files the lender pays the property taxes and adds those too. None of it stops while you are deciding what to do.

On a \$580,000 mortgage at 6.99%, the interest alone runs to roughly:

One month behind	about \$3,400 added
Six months behind	about \$20,300 added
Twelve months behind	about \$40,500 added

Simple interest, for illustration, before any lender fees, legal costs or tax arrears. Your own figures sit in your mortgage statement.

The house, meanwhile, is worth what the market says it is worth that month. That number does not climb because the balance did. So there is a point where what is owed passes what the house would sell for, and from that point on there is no sale that puts money in your hands. The house changes hands either way. The only thing that is different is whether you had a say in it.

The gap is the whole game

If you are a few months behind, there is usually still a gap between the two numbers, and that gap is what gives you choices. It is what pays for a refinance to be worth doing, or for a sale to leave you with something to start again on. It gets smaller every month, and nobody writes to tell you when it closes. Knowing the gap does not commit you to selling. It tells you how much time you actually have.

The lender sells it.

What a power of sale looks like from the inside, in general terms.

Most residential mortgages in Ontario give the lender a power of sale: the right, after default, to sell the property without going to court. The sequence is well established and, from the lender's side, routine. From the owner's side it is usually the first time.

How it typically runs

- **Default, then notice.** After payments are missed, the lender's lawyer issues a Notice of Sale. A statutory waiting period follows. During it, the arrears or the full balance can still be paid and the process stopped.
- **The lender takes over the sale.** If the period passes without payment, the lender can list the property through its own agent. The owner is no longer the person deciding price, timing or terms.
- **Sold as it stands.** Lender sales are generally offered as-is. There is no owner's disclosure, little staging, and buyers price that in.
- **The money comes off in order.** From the sale price: the lender's costs of enforcement and sale, then the mortgage balance with accrued interest, then any later mortgages or liens. Whatever remains after all of that belongs to the owner.
- **If it falls short, the debt does not end.** A shortfall after the sale is still owed by the borrower, and lenders can pursue it.

None of the people in that process are working for you. The lender's agent works for the lender. The lender's lawyer works for the lender. The buyer's agent works for the buyer. The price only has to be defensible as fair for the lender's purposes; it does not have to be the most the house could have brought.

How this applies to your own mortgage depends on its terms and on what has already been sent. Your lawyer can read those for you. What follows is the part that does not change from file to file: what it costs.

What that actually costs you.

Six things, each of them ordinary in these files.

- **The lender's costs, on top of your own.** Legal fees, enforcement costs, appraisals, property management, the lender's agent's commission. All of it is added to what you owe and comes out of the sale before anything reaches you.
- **A price set to recover, not to maximise.** The lender's interest is in clearing its loan and its costs with a sale that holds up. Every dollar above that is your money, and it is nobody's job in that room to go and get it.
- **No say on price, timing, or who walks through the house.** The listing, the showings, the conditions and the closing date are decided by people you have never met.
- **A shortfall that stays yours.** If the sale does not cover the debt and the costs, the difference remains owing, and it can follow you after the house is gone.
- **The record of it.** The sale shows on title as a transfer under power of sale, and the default and enforcement show on your credit file. Both are seen by the next lender you apply to.
- **Being nobody's client.** You are the one person in the process with no representative whose job is your outcome. That, more than any single cost, is why these sales leave people with less.

The house changes hands either way. The difference is whether you had a say in it, and what was left when it did.

It is worth saying plainly: a lender running a power of sale is not doing anything wrong. It is collecting a debt the way the mortgage allows. The cost to the owner is not a penalty anyone imposes. It is simply what it looks like when the sale is run for someone else's benefit.

You sell it, *before that point.*

What changes when the sale is yours.

A sale you run before the lender has to is, on paper, an ordinary listing. In a file under pressure it is more than that. It is the one version of events in which the people running the sale are working for you, and in which the money comes off in an order that leaves you with the most.

- **The market sets the price.** A proper listing, priced from what has actually sold nearby, marketed to every buyer who might want it. The price is the most the market will pay that month, not the least the lender can accept.
- **The costs are commission and your lawyer.** No enforcement costs, no lender's legal bill, no lender's agent. The mortgage is paid out at closing with the interest to that date, and that is the end of it.
- **The timing is yours.** Within the window you have, you choose when it lists, how it shows, which offer you take, and when you move. The closing date is in the agreement because you put it there.
- **What is left is yours, at closing.** After the mortgage and the costs of sale, the balance is paid to you by your lawyer on the day. Not months later, not after someone else's costs.
- **If it is going to fall short, you find out first.** A sale that may not cover the debt is worked out with the lender in advance, with the numbers in front of everyone, not discovered at the closing table.
- **The record is a sale.** Title shows a transfer. Credit shows a mortgage paid out. The next lender sees a homeowner who sold, which is a different conversation from one who was sold.

The condition on all of it is time. A sale run this way needs a window: enough of one to price properly, market properly and close properly before the lender's process overtakes it. At stage one or two there is plenty. At stage three there is usually still enough. At stage four it is tight, and the first call has to be to the lender's lawyer, not to a photographer.

What a coordinated sale looks like.

The order of operations on a file where the mortgage is the reason for the sale.

This is the part most listings skip, because most listings do not need it. On a file under pressure it is the whole difference between a sale that closes and one that collapses in the second week.

1 The payout statements come first.

Before a price, before a sign, the exact figure owing on every mortgage and lien, with per diem interest and any penalty, in writing from each lender. Rough numbers from memory are how files go wrong.

2 The lenders hear from me before they hear from anyone else.

With your written authorization, each lender is told the property is being sold, by whom, and on what timeline, and is asked to hold its process while the sale runs. Lenders tend to cooperate with a sale that is clearly happening, and to enforce against one that is not.

3 An honest price, from comparable sales.

What has actually sold on your street and in your area in the last year, adjusted for your house, with the comparables shown so you can check the work. Not a hopeful number, and not a fire-sale one.

4 Marketing that fits the situation.

Full exposure where that brings the best price; discretion where privacy matters more. Nothing in the listing says why the home is for sale.

5 Offers structured so the sale can close.

Dates that work with the lender's process, deposits that hold, and, where the proceeds may not cover everything, conditions that let the lender sign off before anyone is committed.

6 Your lawyer in the loop throughout.

Discharges, shortfalls, the distribution of proceeds: these are legal questions, and the lawyer handling your closing is part of the file from the start, not called in at the end.

7 Closing, and what comes after.

The mortgages paid out, the costs settled, the balance to you, and a clear picture of where you stand for whatever comes next.

Nothing in this binds you to anything until you sign it. Authorizations let me speak for you; they do not let me decide for you.

Same house. *Two endings.*

Every row is general and public. How it lands on your file depends on your mortgage, your stage, and your numbers.

	The lender sells it	You sell it first
Who sets the price	The lender, at a level that recovers the loan and its costs	The market, through a proper listing priced from real sales
What comes off the top	The lender's legal and enforcement costs, its agent's commission, then the mortgage and interest	Commission and your own lawyer, then the mortgage and interest to the closing date
Timing	The lender's. Listing, showings and closing on its schedule	Yours, inside the window you have
Showings and conditions	Sold as-is, no owner's disclosure, buyers price in the uncertainty	Presented properly, with the conditions and dates you agree to
If it falls short	The difference remains your debt and can be pursued	Worked out with the lender before the sale, not after
What is left	Whatever remains after everyone else is paid, paid later	The balance after the mortgage and costs, paid to you at closing
Who you are to the people running it	The borrower in default. Nobody in the room works for you	The client. The agent and the lawyer work for you
What the record shows	A transfer under power of sale on title; default and enforcement on credit	A sale on title; a mortgage paid out on credit

The left column is what happens by default. The right column is what happens on purpose.

Before you choose: *the one number both endings depend on*

Everything in this guide turns on the same two figures. What the property is worth **today**, and what is actually owing against it.

Not what you paid for it. Not the assessment. Not what sold on the street two years ago. Values have moved, and a plan built on an old number is a plan built on nothing.

- If the house is worth comfortably more than what is owed, you have a real choice, and time to make it well.
- If the two numbers are close, the sale has to be run carefully, and the lender brought in early, for it to work at all.
- If what is owed has passed what the house would sell for, the question is no longer which ending. It is how to make the one that is coming cost you the least.

Most people reading this are working from a figure that is two or three years old. That is usually the difference between a plan that holds and one that falls apart in the second week.

So start there

Send me the address and roughly what is owing. I will work out what it would realistically sell for today, and what you would be left with after the mortgage and the costs of selling, with the comparables I used so you can check the work. It takes about a day.

Then you will know **which ending is still available to you**, and how long it stays that way.

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A calm sale, on your terms, *not on a lender's clock.*

Nobody wants to sell. The people I work with did not want to either. What they wanted was to keep the part of the house that was actually theirs, the equity, and to decide for themselves how the next chapter started. A sale run properly, early enough, is how that happens. A sale run by the lender is how it does not.

If that is where your file is, or might be, the first step is the one on the previous page. Send the address and roughly what is owing. The number comes back in about a day, and the conversation after that is yours to have or not.

Who wrote this

I am Taran Aujla. Before I was a Salesperson I spent close to ten years as a real estate lawyer in Ontario and closed several hundred transactions, a good share of them the hard kind: power of sale, arrears, estates, time-sensitive closings. I have sat across from the lenders, the lawyers and the family members these files bring. I know where they get stuck, and where the room to move usually is.

I work across the GTA, Hamilton and Kitchener-Waterloo, mostly on homes under a million dollars, and I come to you.

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